TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

ABC News · Jessica Irvine, money correspondent
Published 9 November 2026

Are there any good alternatives to raising interest rates?

After **five rate hikes in 2026** took the cash rate to an 18-year high of **4.85%**, mortgage holders are hurting. Jessica Irvine asks whether governments have better tools to cool inflation, and concludes that the blunt instrument of interest rates is still the one we have.

WHAT THE ARTICLE SAYS

- **Four channels:** higher rates lift the **Australian dollar**, reward **saving** over spending, lower **asset prices** (housing, shares), and raise repayments for **variable-rate borrowers**.
- **Time lags:** the full effect on the economy takes about **12–18 months**.
- **Fiscal policy:** the budget's four-year outlook has deficits steady at about **1% of GDP**, which is not a big stimulus, so spending cuts alone would only go so far.
- **Tax levy:** a temporary levy could drain spending, as with 2014's **2% budget repair levy** on incomes over $180,000. No country hands tax-setting to an independent body the way it does interest rates.
- **Super guarantee:** lifting the **12%** compulsory super rate would divert income into saving, an idea that echoes the 1980s **Hawke–Keating Accord**, but it needs more research.

Key terms: transmission mechanism: the channels through which a cash rate change affects spending and inflation · **contractionary policy**: policy that slows aggregate demand · **policy mix**: how monetary and fiscal policy work together.

4.85%
Cash rate after the 3 Nov hike, an 18-year high

5
Rate rises so far in 2026

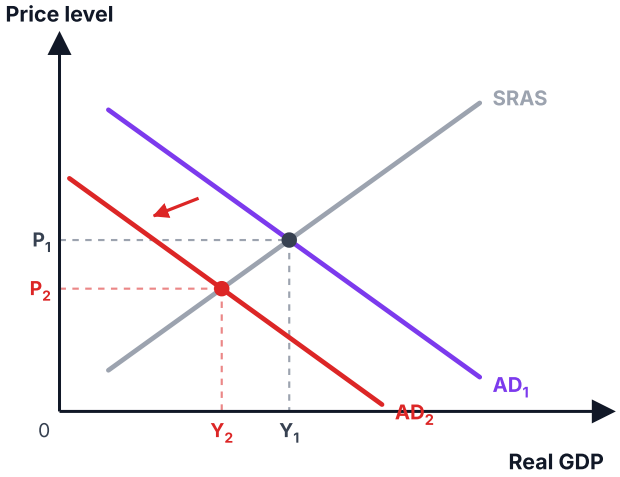
12–18 mths
Time for rate rises to take full effect

~1% of GDP
Projected budget deficit each year

12%
Current superannuation guarantee

DIAGRAM

Every option works by slowing aggregate demand



Higher interest rates, a temporary tax levy and higher compulsory super all **reduce household spending**, so aggregate demand shifts from **AD_1 to AD_2**.

The price level falls from **P_1 to P_2**, easing inflation, but real output falls from **Y_1 to Y_2**. This is the **cost** of fighting inflation: slower growth and higher unemployment.

The tools differ in **who bears the burden**: rate rises fall mainly on borrowers, a levy falls on taxpayers, and higher super falls on all workers.

FLOW CHART

The monetary policy transmission mechanism

RBA raises the cash rate → Lending and deposit rates rise; AUD appreciates → Less borrowing and spending; asset prices fall → Aggregate demand slows (12–18 month lag) → **Inflation eases towards the 2–3% target**

Exam angle: use this article to evaluate the **limitations of monetary policy**: time lags, uneven effects across households, and a **blunt** instrument. Contrast it with fiscal policy, which can be targeted but is slower to change and politically harder.

Syllabus link: Topic 4: monetary policy (the cash rate and the transmission mechanism); limitations of monetary policy; fiscal policy and the policy mix in managing inflation.

Try this

1. Explain **two** channels of the monetary policy transmission mechanism. **(4 marks)**
2. Evaluate raising the superannuation guarantee as an alternative to a cash rate increase for reducing inflation. **(6 marks)**

Source: abc.net.au/news/2026-11-09/are-there-alternatives-to-interest-rate-rises/107360716 · Cash rate context: abc.net.au/news/2026-11-03/rba-lifts-interest-rates-november-2026-highest-rate-in-18-years/107340050

Diagrams are illustrative, not to scale